Cryptocurrency Fundamentals

Module 5 Study Guide

Understanding Market Trends

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: Reading Price Charts and Market Data

In this lesson: Market Data Basics; Calculating Market Cap; Understanding Trading Volume; Re

Key points

- Evaluate price, volume, and market cap together
- Use market cap to measure true project size
- Confirm price movements using 24-hour trading volume

Examples from the lesson

- Today we are kicking off Module 5, "Understanding Market Trends", with Lesson 1: "Reading Price Charts and Market Data".
- To understand the big picture, you need three main pieces of data: current price, trading volume, and market capitalisation.
- If a single token costs TT$10, that does not automatically mean it is cheap or expensive until you look at the total supply.
- Suppose TriniCoin has a current market price of TT$10 per token, and there are 1,000,000 tokens circulating in the market.
- To find the market cap, you multiply TT$10 by 1,000,000 tokens, giving you a total market cap of TT$10,000,000.
- Now, picture a second coin called Tobagocoin with a price of TT$100 per token.
- At first glance, people might think Tobagocoin is ten times bigger because the price is higher.
- But if Tobagocoin only has 10,000 tokens in circulation, its market cap is TT$100 times 10,000, which equals TT$1,000,000.
- Even though TriniCoin has a smaller individual price per token, its total market size is actually ten times larger than Tobagocoin.
- Volume measures how much total value was traded over a specific period, usually 24 hours.
- But if price rises on tiny volume, it is like a fete with only five people—the movement is weak and can easily reverse.
- Checking all three data points builds a solid analytical habit that protects your hard-earned Trinidad and Tobago dollars.

- Today we learned how to evaluate crypto markets using three key indicators: current price, circulating supply to calculate market cap, and 24-hour trading volume.
- Next up in this module is Lesson 2: Trends, Support, and Resistance.

Lesson 2: Trends, Support, and Resistance

In this lesson: Define trend types; Spot higher highs/lows; Draw support/resistance; Worked TT

Key points

- Identify trend direction using highs and lows
- Mark support at recent low where price bounces
- Set resistance at recent high where price stalls

Examples from the lesson

- This is Module 5, Understanding Market Trends, Lesson 2: Trends, Support, and Resistance.
- Suppose the price starts at TT$ 20,000.00, then rises to TT$ 20,800.00, then to TT$ 21,200.00, pulls back to TT$ 20,900.00, and climbs again to TT$ 22,000.00.
- From this we see higher highs at 20,800, 21,200, and 22,000, and higher lows at 20,000, 20,900, confirming an uptrend.
- The pullback to 20,900 finds buying interest, so we mark that as support at TT$ 20,900.00.
- The price stalls near TT$ 22,200.00 before dropping, indicating resistance at TT$ 22,200.00.
- You would draw an upward trend line connecting the lows at 20,000 and 20,900, and a horizontal resistance line at 22,200.

Lesson 3: Building a Calm, Informed Approach

In this lesson: Managing Emotional Hype; Personal Watchlist Setup; Decision Checklist Rules; W

Key points

- Maintain a focused watchlist of three to five core assets
- Filter every trade through a strict personal decision checklist
- Protect your capital by honoring set TT$ budget limits

Examples from the lesson

- We are currently in Module 5, "Understanding Market Trends," and today we are covering Lesson 3: "Building a Calm, Informed Approach."
- Instead of tracking dozens of random tokens, pick three to five reputable assets to follow closely.
- Suppose you set aside TT$ 500 from your monthly budget for your cryptocurrency learning portfolio.
- You decide to allocate TT$ 300 to major established tokens that you have researched

thoroughly on your watchlist.

- Next, you set aside TT$ 150 for emerging blockchain projects that meet every single requirement on your decision checklist.
- That leaves a clear cash reserve of TT$ 50 of your monthly allocation kept safely in your local credit union account.
- Adding your TT$ 300 major token allocation and TT$ 150 emerging project allocation gives you TT$ 450 total deployed capital for the month.
- Subtracting that TT$ 450 deployed capital from your TT$ 500 monthly budget confirms your TT$ 50 cash reserve balance.
- If your TT$ 500 monthly limit is already reached, you walk away without regret.
- First, build a personal watchlist of three to five assets so you focus on quality over noise.

Recap checklist — can you say each one?

Lesson 1: Reading Price Charts and Market Data

- ☐ Evaluate price, volume, and market cap together
- ☐ Use market cap to measure true project size
- ☐ Confirm price movements using 24-hour trading volume

Lesson 2: Trends, Support, and Resistance

- ☐ Identify trend direction using highs and lows
- ☐ Mark support at recent low where price bounces
- ☐ Set resistance at recent high where price stalls

Lesson 3: Building a Calm, Informed Approach

- ☐ Maintain a focused watchlist of three to five core assets
- ☐ Filter every trade through a strict personal decision checklist
- ☐ Protect your capital by honoring set TT$ budget limits